

The Red Book May 2026

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An in-depth assessment of the current state of the Australian consumer.



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The **Westpac–Melbourne Institute Consumer Sentiment Index** fell heavily in April, declining 12.5% to 80.1, having drifted slightly lower through February and March.

The April fall was the biggest monthly decline since COVID and takes the Index near historical lows, albeit above the extremes seen at the onset of the pandemic and during the recessions of the early 1990s and 1980s.

All Index components deteriorated sharply in the April month but the biggest falls were across components tracking 'current conditions'. This clearly reflects the sharp spike in average pump prices for fuel, the rise in dollar terms the biggest on record and the percentage change comparable to the spike during the 1979 oil crisis. Assessments also reflect the RBA's interest rate rises in February and March.

Risk aversion was holding at elevated levels ahead of the April shock. The **Westpac Risk Aversion Index** was 48 in March, in line with the 49.1 in December – up marginally from the 47.2 average over the previous year and half but below the 51-59 range seen during 2022-23. Aversion has likely risen further since March.

The sentiment mix suggests spending momentum has weakened materially. **CSI±**, a modified indicator that correlates well with per capita spending, points to a shift back to outright contraction in coming quarters.

Consumer interest rate expectations continue to weigh on overall expectations. The **Westpac-Melbourne Institute Mortgage Rate Expectations Index** rose 3.9% to 177.2 in April, returning to recent cycle highs. Amongst those with a view, just over 80% of consumers expect mortgage rates to increase over the year ahead (noting that this was prior to the RBA's 25bp cash rate increase in early May).

The **'time to buy a major item'** index dropped 15% in April to 83.3. This component has been particularly sensitive to 'cost of living' pressures in recent years. The decline takes the sub-index towards, but still slightly above, the very weak 75–80 range seen in 2022–24.

Homebuyer sentiment bucked the wider softening trend in the April month but remains at very pessimistic levels. The **'time to buy a dwelling'** index rose 3.5% in the April month but was still down 4.3% vs January, coming off a new cycle low in March. At 85.8 the Index is still more than 33pts below the long-run average of 120.

Consumers are becoming much less bullish on the outlook for house prices. The **Westpac-Melbourne Institute Consumer House Price Expectations Index** posted a sharp 10.2% fall to 153.5. That said, price expectations are still relatively positive, the Index well above the long-run average of 130. Over two-thirds of those with a view expect prices to increase over the next year.

The April sentiment shock had a notably deeper impact on consumers' labour market expectations than the weakness seen during the 2022-24 'cost of living' crisis. The **Westpac-Melbourne Institute Unemployment Expectations Index** jumped 9.7% to 147.8 to be up 14% over the 3mths to April (recalling that higher reads are a deterioration that means more consumers expect unemployment to rise over the year ahead). Expectations are now materially above the long run average of 129.

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